Topic 6 - Interpretation of accounts

Question 1 -Hedge Ltd

You have been given the following information relating to Hedge Ltd for the year to 31 January 2021:

- The company has an issued share capital of £500,000 ordinary shares of £1 each. There are no preference shares.
- The market price of the shares at 31 January was £3.50.
- The net profit after tax for the year was £70,000.
- The directors are proposing a dividend of 7 pence per share for the year.

Calculate the following ratios:

1) Dividend yield
2) Dividend cover
3) Earnings per share
4) Price/earnings ratio

Question 2 - HJK plc

The following information relates to HJK plc for the two years to 31 December 2020 and 2021.

Income statements

	2020		2021	
	£m	£m	£m	£m
Sales revenue		1,500		1,900
Less: Cost of goods sold:				
Opening inventory	80		100	
Purchases	995		1400	
	1075		1500	
Closing inventory	100	975	200	1300
Gross profit		525		600
Less: Expenses		250		350
Operating Profit		275		250

Statements of financial position at 31 December

	2020		2021	
	£m		£m	
Non-current assets	580		460	
Current assets				
Inventory	100		200	
Trade receivables	375		800	
Bank	25		-	
	500		1,000	
Total assets	1,080		1,460	
Equity				
Ordinary share capital		900		900
Retained earnings	100		350	
	1,000		1,250	
Current liabilities				
Bank overdraft		-		10
Trade payables		80		200
	80		210	
Total equity and liabilities		1,080		1,460

Discuss the company's performance for the year to 31 December 2021. You should use accounting ratios to support your analysis.

Question 3 – X and Y

Business X and Business Y are both engaged in retailing, but seem to take a different approach to trading. The following information has been calculated in respect of both companies:

Ratio	Business X	Business Y
Current ratio	2:1	1.5:1
Acid test ratio	1.7:1	0.7:1
Return on capital employed	20%	12%
Trade receivables settlement period	63 days	21 days
Trade payables settlement period	58 days	45 days
Gross profit margin	40%	15%
Operating profit margin	10%	10%
Inventories turnover period	52 days	25 days

Describe what this information indicates about the differences in approach between the two businesses. If one of them prides itself on personal service, and one of them on competitive prices, which do you think is which and why?

Question 4

Discuss whether or not ratio analysis is useful in understanding how a business has performed.